Residential Mortgage Regulations in Switzerland (2024–2025)

Switzerland maintains strict guidelines for banks and mortgage brokers when handling **residential mortgage** applications from private individuals. The following report summarizes the latest regulatory standards (as of 2024–2025) including lenders' conduct obligations, down payment rules, nationality-based conditions, cross-border lending considerations, risk assessment metrics, and required documentation. All information is drawn from current FINMA regulations and official Swiss guidelines to ensure accuracy and compliance.

Conduct Obligations for Lenders and Mortgage Brokers

Financial institutions in Switzerland are expected to adhere to high standards of honesty, diligence, and transparency when processing mortgage requests. Although the **Financial Services Act (FinSA)** primarily covers investment services (and does *not* classify typical mortgages as "financial instruments"), banks and brokers must still follow general conduct rules and consumer protection principles. In practice, this means:

- **Duty of Care and Prudence:** Lenders must ensure that borrowers are not extended credit beyond their means. FINMA (the Swiss Financial Market Supervisory Authority) has emphasized that banks should apply **"sustainable lending criteria"** and avoid overestimating what a client can afford finma.ch finma.ch. Loans should not be granted as exceptions to policy without sound justification, as too many exceptions **"contradict prudent lending practices"** finma.ch.
- **Regulatory Oversight:** FINMA supervises banks' mortgage practices through recognized self-regulation. The Swiss Bankers Association (SBA) issues **"Guidelines on minimum requirements for mortgage loans"**, which FINMA has formally recognized as binding minimum standards swissbanking.ch swissbanking.ch. FINMA monitors compliance and can intervene with individual institutions if these standards are not met finma.ch finma.ch. For example, FINMA's 2024 review warned it may move from principle-based to more **rule-based regulation** if banks persistently loosen their lending criteria finma.ch.
- **Anti-Money Laundering (AML) and Know-Your-Customer:** Banks and mortgage brokers must comply with Switzerland's Anti-Money Laundering Act. This requires verifying the client's identity and residence status, understanding the source of funds for the down payment, and documenting all relevant information. Lenders are **"obliged to check and document borrowers' documentation for regulatory reasons"**, partly to prevent fraud and money laundering postfinance.ch. In practice, this means thorough KYC checks at the application stage, including obtaining identification documents and evidence of income/assets (see Required Documentation below).
- **Conflicts of Interest and Fair Advice:** Mortgage brokers in Switzerland are not subject to a specific licensing regime by FINMA (unlike banks), but they are expected to act in the client's best interest under general contract law and industry norms. Brokers typically receive commissions from banks; while no specific Swiss law mandates

disclosure of broker commissions, transparency is encouraged as a best practice. Under FinSA's broad principles of client care, any advisory role a broker plays should be carried out with **loyalty, diligence, and no misleading information** – even if mortgages per se fall outside FinSA's core scope. Moreover, all financial service providers (including banks that offer mortgages) must be affiliated with an independent ombudsman scheme for dispute resolution, which provides consumers an avenue for complaints if conduct obligations are breached.

Minimum Down Payment and Funding Sources

Swiss regulations enforce conservative **loan-to-value (LTV)** limits and strict down payment requirements for residential mortgages. In general, **at least 20% of the property's value must be contributed by the buyer as equity** (down payment)strike-advisory.ch. The **maximum LTV is 80%**, meaning banks will finance up to 80% of the purchase price and require the rest in owner equitystrike-advisory.chstrike-advisory.ch. Key rules on down payments include:

- **"10/10" Rule – Hard Equity vs. Pension Funds:** Out of the minimum 20% down payment, **at least 10% of the property value must come from the borrower's own *non*-pension funds**strike-advisory.chen.comparis.ch. This portion is often called "hard equity" and must be sourced from liquid assets like savings, investments, gifts or inheritance, *not* from retirement accounts. The remaining portion of the down payment (up to 10% of the purchase price) *may* come from the borrower's occupational pension (second pillar) fundsstrike-advisory.ch. Swiss law allows homebuyers to withdraw or pledge pension savings for an owner-occupied home, but **only half of the required 20% equity can derive from such pension assets**strike-advisory.ch. In summary, a typical purchase of CHF 1,000,000 requires at least CHF 200,000 down: **minimum CHF 100,000 from cash/third-pillar/gifts/etc., and at most CHF 100,000 from pension withdrawal**.

- **Acceptable Sources of Down Payment:** Banks will recognize various **private funds** as equity. Acceptable sources include cash savings in bank accounts; proceeds from selling stocks or other securities; funds in a Pillar 3a retirement account (which can be withdrawn for home purchase); gifts or an advance on inheritance ("Erbvorbezug"); and equity from selling other propertystrike-advisory.chstrike-advisory.ch. **Pension fund** money (second pillar) can be used up to the aforementioned limit, either by withdrawal or pledge of the pension assetstrike-advisory.chstrike-advisory.ch. Importantly, **borrowed money is generally not allowed to count as equity** – the down payment cannot be financed by a personal loan or credit line, as that would defeat the purpose of having the borrower's own capital at risk. (One exception sometimes permitted is a private loan from close family members: the SBA's updated guidelines in 2024 clarified conditions under which *family loans* can be treated as equityswissbanking.ch. In practice, a parental loan must be deeply subordinated or structured as a gift to be accepted as "own funds".)

- **Beyond the Purchase Price:** Note that the **20% down payment rule applies to the property value**, but buyers also face additional purchase costs (property transfer taxes, notary and land registry fees, etc.). These transaction costs (typically ~5% of price, varying by canton) **cannot** be financed via the mortgage and must be paid in cash on top of the down payment. Lenders will ensure the borrower has sufficient savings to cover these expenses separatelystrike-advisory.ch.

In summary, Swiss lenders require substantial upfront equity to ensure borrowers have a stake in the property and to buffer against market fluctuations. The 20% (with 10% hard cash) minimum is a **nationwide standard** and a condition for preferential risk weighting of the loan in bank capital rulesswissbanking.chswissbanking.ch. This conservative approach helped keep Swiss mortgage default rates low and is continually reinforced by regulators.

Risk Assessment: Affordability and Loan-to-Value Ratios

When evaluating a mortgage application, Swiss banks must assess two key risk metrics: **affordability** (the buyer's ability to afford ongoing payments) and the **loan-to-value ratio** (amount of loan vs. property value). Regulatory guidelines mandate specific methods to calculate these:

- **Affordability (Tragbarkeit):** This is a **stress-test of the borrower's income against the potential costs of home ownership**. The rule of thumb is that housing expenses should consume no more than **one-third (33%) of gross household income**en.comparis.ch. To calculate this, banks do not use the current low interest rate, but rather a **hypothetical interest rate (typically ~5% p.a.)** to reflect long-term average rates and ensure the loan would remain affordable if rates riseen.comparis.ch. They add a maintenance cost buffer (usually **1% of property value per year for upkeep and ancillary costs**) and expected amortization payments (if any)en.comparis.ch. For example, if a property costs CHF 1,000,000 and the client seeks an 80% mortgage (CHF 800,000), the bank will assume annual interest of ~CHF 40,000 (5% of 800k) plus CHF 10,000 in maintenance (1% of 1M) plus any amortization. The sum (around CHF 50,000 in this example) must not exceed one-third of the borrower's annual incomeen.comparis.ch. If the calculated **"affordability rate" exceeds ~33%**, most lenders will refuse the mortgage or require a larger down paymenten.comparis.ch. This **1/3 income rule** is an industry standard derived from SBA self-regulation. (Notably, FINMA itself does not impose a fixed percentage in law, but it **recognizes the SBA's affordability guideline** as the prudent normen.comparis.ch.)

- **Loan-to-Value (LTV) and Amortization:** As noted, the maximum initial LTV for residential mortgages is **80%**en.comparis.ch. In addition, Swiss regulations distinguish between a **first and second mortgage** tranche. The first mortgage can typically go up to 65% of the property value and may be left outstanding long-term (interest-only). Any lending beyond 65% up to 80% is in the "second mortgage" portion, which **must be amortized (paid down) over time**. Specifically, banks require that the loan be **paid down to an LTV of two-thirds (66.7%) within a maximum of 15 years**swissbanking.ch. In practice this means if you borrow 80%, you must amortize at least 13.3% of the property value (reducing the loan from 80% to 66.7%) in 15 years, through either regular principal payments or occasional lump sums. This amortization requirement is another SBA/Federal guideline aimed at ensuring borrowers eventually build up equity (at latest by retirement). The **2024 update of the SBA mortgage standards** reaffirmed this rule: *"amortisation to two-thirds of the lending value within 15 years"* is required for all property typesswissbanking.ch. (Previously, even stricter amortization was demanded for investment properties, but as of 2025 the same 15-year rule applies across the board, since new capital regulations will address the higher risk of investment mortgagesswissbanking.chswissbanking.ch.)

- **Property Valuation Prudence:** Lenders use the **"lower of cost or market" principle** to determine the property value for LTV calculationsstrike-advisory.chstrike-advisory.ch. If a buyer is paying above the appraised market value, the bank will base the 80% limit on the *lower* valuation. This prevents over-borrowing in overheated markets. Banks also often have in-house or independent appraisers evaluate the property. FINMA's **Mortgage Directive** (revised in 2024) tightened requirements for **independent valuation** of collateral and controls on automated valuation modelsfinma.ch – the goal is to ensure loan decisions rely on realistic property values without undue influence from interested parties. The updated rules explicitly mandate that property valuations be independent and that banks **periodically reassess** property values and the borrower's financial situation during the life of the loanfinma.chswissbanking.ch. This means even after a mortgage is granted, banks must monitor if a significant event (interest rate jumps, income changes, etc.) affects affordability, and take action if needed.
- **Capital Risk Weighting:** From a bank's perspective, mortgages also carry different capital requirements depending on risk. Under the final Basel III rules (effective 2025 in Switzerland), **higher LTV loans and especially mortgages on investment (rental) properties receive significantly higher risk weightings**finma.chfinma.ch. In response, the SBA removed certain temporary stricter rules (like the 2019 rule requiring 25% down for investment properties) because the capital rules now "penalize" risky mortgages automaticallyfinma.chswissbanking.ch. However, regulators have cautioned banks not to ease standards: FINMA **"recommends that banks do not increase lending limits for investment properties"**, given the still-elevated market risksfinma.chfinma.ch. For borrowers, this essentially means **loans for rental properties may be harder to get or come with higher rates**, as banks account for the extra risk and capital cost. For owner-occupied homes, the traditional 80%/33% rules apply uniformly and are unlikely to be relaxed, especially in the current environment of rising interest rates (which FINMA warns are *"increasing affordability risks"* for households)finma.ch.

Bottom line: Swiss mortgage providers must rigorously vet both the **borrower's capacity** (affordability) and the **loan's collateral cushion** (LTV). A mortgage will only be approved if **(a)** the borrower's income can cover the imputed high-interest payments within the one-third threshold, and **(b)** the borrower contributes sufficient equity (20% minimum) and agrees to repay a portion of the principal over time to reach a safer LTV. These risk calculations are not just internal policies – they are anchored in **national guidelines** enforced by FINMA's oversight of the industryen.comparis.ch.

Nationality-Based Conditions and Lex Koller Restrictions

Switzerland imposes different conditions on property purchase and financing depending on the **nationality and residency status** of the buyer. The key legal framework is the **Federal Act on the Acquisition of Real Estate by Persons Abroad**, commonly known as **"Lex Koller"**, which restricts foreign nationals from buying residential real estate in Switzerland in certain cases. Mortgage providers must ensure that any property purchase they finance complies with these rules. Below is a breakdown of conditions by category of buyer:

Applicant Category	Right to Purchase Property	Special Requirements
Swiss citizens (including Swiss expats abroad)	**Full rights** – Swiss nationals can purchase residential property without restriction. Lex Koller does *not* apply to Swiss citizensresourcehub.bakermckenzie.comresourcehub.bakermckenzie.com, even if they live overseas.	*Documentation:* Valid Swiss ID/passport. If residing abroad, proof of Swiss nationality suffices. No permit needed.
EU/EFTA citizens residing in Switzerland (with B or C residence permit)	**Treated as domestic buyers.** Under bilateral agreements, EU/EFTA nationals who are lawfully domiciled in Switzerland have **"exactly the same rights as Swiss nationals regarding any acquisition of real estate"**resourcehub.bakermckenzie.comresourcehub.bakermckenzie.com. They can buy a primary residence (and even secondary/investment properties) in Switzerland without special authorization.	*Documentation:* Passport/ID and Swiss residence permit (B or C)postfinance.ch to prove EU/EFTA status in Switzerland. No Lex Koller permit required.
Third-country nationals with a C permit (settled foreigners from outside EU/EFTA)	**Treated like Swiss for property purposes.** A non-EU citizen holding a Swiss **C settlement permit** is not considered a "person abroad" under Lex Kollerbj.admin.ch. They may purchase residential real estate (primary or secondary home) without needing foreign buyer authorization.	*Documentation:* Passport and C permit to prove Swiss resident status. No permit needed.
Third-country nationals with a B permit (temporary residence)	**Allowed one primary residence with approval.** A non-EU/EFTA citizen on a B residence permit is deemed a *"foreign non-resident"* under the lawbj.admin.ch. In principle, they **must obtain cantonal authorization** before acquiring residential propertyresourcehub.bakermckenzie.comresourcehub.bakermckenzie.com. In practice, cantons do grant permits for such individuals to buy a home *for their own use* (main residence), as an exception in Lex Koller. The purchased dwelling must be used by the permit holder and typically cannot be a large investment property.	*Documentation:* Passport, B permit, and **cantonal purchase authorization** under Lex Koller. The lender will require the official approval letter from the cantonal Lex Koller authority confirming the foreign buyer is permitted to acquire the specific propertybj.admin.chbj.admin.ch.

Applicant Category	Right to Purchase Property	Special Requirements
Foreign nationals *not* residing in Switzerland (non-resident buyers)	**Heavily restricted.** Foreigners who neither live nor work in Switzerland (this includes EU/EFTA citizens residing abroad) generally **cannot purchase Swiss residential real estate without a permit**resourcehub.bakermckenzie.com resourcehub.bakermckenzie.com. Lex Koller limits non-residents to only certain types of acquisitions: notably, foreigners may apply for a permit to buy a *vacation/holiday home* or an apartment in a designated tourist area. Even those are subject to tight annual quotas per cantonresourcehub.bakermckenzie.com. Purchasing property purely for investment (buy-to-let apartments, second homes in non-tourist locales) is *not* allowed for non-resident foreigners.	*Documentation:* If a special permit is obtained (e.g. to buy a holiday chalet in an approved alpine resort), the foreign buyer must present the **cantonal authorization certificate** to the notary and lender. Without such authorization, the land registry will refuse to register the purchaseresourcehub.bakermckenzie.com and any mortgage on it. Lenders will typically verify that a foreign client's purchase falls under an approved category or has received exemption approval before granting a loan.

Lex Koller enforcement: It's important to note that Lex Koller authorization is handled by cantonal authorities on a case-by-case basisbj.admin.ch. Banks and notaries are obligated to ensure a sale involving a foreign buyer is compliant. If a transaction is done without required authorization, it is null and void by law, and **even criminal sanctions** are possible for willful violationswalderwyss.com. Therefore, banks will refuse financing if a client's nationality/residence status makes the purchase illegal or contingent on an unmet permit.

In summary, **Swiss and EU/EFTA residents face no special purchase hurdles**, whereas **non-resident foreigners face strict prohibitions**. Third-country residents in Switzerland occupy a middle ground: those settled long-term (C permit) are treated as locals, while short-term residents (B permit) need permission but generally can buy a home to live in. Mortgage providers must collect proof of the client's status (such as a copy of a residence permit for any non-citizen borrower)postfinance.ch and, when applicable, a copy of the Lex Koller approval. These measures ensure the loan is only extended for legally permissible transactions.

Cross-Border Mortgage Considerations

Cross-border aspects – where either the borrower is outside Switzerland or the property is – introduce additional regulatory considerations. Swiss banks predominantly finance properties **located in Switzerland** for borrowers who are Swiss residents. However, there are cases of **Swiss mortgages issued to individuals residing abroad** (for a Swiss property purchase, such as Swiss expats buying in Switzerland or foreigners with holiday-home permits). In all such scenarios, banks must navigate both Swiss and foreign laws:

- **Compliance with Foreign Laws:** FINMA explicitly requires that Swiss financial institutions **respect foreign financial laws when serving clients abroad**. Even though Swiss law doesn't directly force banks to obey another country's regulations, FINMA has stated that **providing services into foreign jurisdictions without following local rules**

can breach the Swiss requirement of proper business conductfinma.chfinma.ch. This was outlined in FINMA's position on cross-border risks: banks must *"define an appropriate service model for each target market"* and ensure their cross-border activities don't create legal or reputational riskfinma.chfinma.ch. In practice, this means a Swiss bank offering a mortgage to a client living in, say, Germany or the US must consider the laws of that country (for example, licensing requirements, consumer protection or tax implications). Many banks limit or **refuse mortgages to residents of certain countries** due to regulatory risk. U.S. residents are a common example – Swiss banks will typically not extend new mortgages to U.S.-based persons because of stringent U.S. financial regulations (unless done via a registered affiliate). For EU residents, banks may require that the client initiate the relationship (no active promotion into the EU), among other compliance steps.

- **Mortgage for Swiss Property, Borrower Abroad:** If a non-resident individual is allowed to buy Swiss property (e.g. a Swiss citizen abroad, or an EU national planning a secondary residence), Swiss banks may finance the purchase but often on **more conservative terms**. **Higher equity contributions** are usually demanded. For instance, for **vacation homes or investment properties**, banks often cap the LTV at around *50–60%* rather than 80%. UBS notes that for holiday homes in Switzerland, **"up to 60% of the property value can be financed with a mortgage"**, meaning at least 40% down payment is requiredubs.com. The rationale is that non-resident borrowers and secondary homes carry higher risk (the property might be harder to sell or the borrower's ties to Switzerland are weaker). Additionally, if the borrower's income is earned in a foreign currency, the bank will factor in currency risk and perhaps impose a stricter affordability margin. Overall, cross-border clients can expect **stricter lending criteria** – lower LTV ceilings, higher interest rates, or additional guarantees – to offset the added risk to the bank.

- **Mortgage for Property Abroad:** Swiss banks generally do *not* finance foreign real estate for private clients, except in special cases (often via international divisions or partner banks in the target country). A Swiss residing in Switzerland buying property in (for example) France would typically need to seek a mortgage from a lender in that country. This is partly due to legal reasons (a bank lending in a foreign jurisdiction might need a local license and must adhere to that country's mortgage consumer rules) and partly due to collateral enforcement (Swiss banks prefer collateral within Swiss reach). Thus, **cross-border mortgage processing is mostly confined to financing Swiss properties**; the "cross-border" element refers to the client's location or nationality rather than the real estate's location.

- **Anti-Money Laundering & Tax transparency:** When dealing with clients abroad, Swiss lenders apply enhanced due diligence. Large transfers of funds from overseas for down payments will be scrutinized for AML purposes. Clients must typically provide documentation on the origin of funds (e.g. sale of a foreign property, accumulated savings, etc.). Switzerland's participation in the Automatic Exchange of Information (AEOI) means foreign tax residents' account details (including mortgage balances) are reported to their home tax authorities, ensuring transparency. While not a **specific** mortgage rule, these broader compliance frameworks affect how cross-border mortgage clients are onboarded and monitored.

In summary, **cross-border mortgages require careful navigation of legal and risk factors**. FINMA expects Swiss banks to only engage in cross-border lending where they can do so lawfully and prudentlyfinma.chfinma.ch. From the client's perspective, this means the availability of Swiss mortgages may be limited if you live abroad, and the terms might be less generous. Always, the bank will verify that the property purchase itself is allowed (Lex Koller compliance for foreign buyers) and that providing the loan won't violate any foreign regulations. Cross-border clients should be prepared for a thorough review and possibly slower processing as compliance checks are performed.

Required Documentation for Mortgage Applications

Whether applying with a bank in Switzerland or through a mortgage broker, a prospective borrower must submit a comprehensive set of documents. These allow the lender to verify identity, assess creditworthiness, and evaluate the property. Below is a checklist of typical **required documentation** for a Swiss residential mortgage file (as of 2024), based on guidelines from Swiss lenderspostfinance.chpostfinance.ch:

- **Proof of Identity and Status:** A copy of an official ID document (passport or Swiss identity card) for each applicant. For foreign nationals residing in Switzerland, a **copy of the residence permit (B/C permit)** is requiredpostfinance.chpostfinance.ch. This verifies the borrower's legal status and whether any Lex Koller restrictions might apply. If the property is being bought by a company or trust, additional documents (extract from commercial register, organization documents, etc.) would be needed, but for private individuals the focus is on personal ID.

- **Evidence of Income and Financial Capacity:** Lenders require documentation of the borrower's income to perform the affordability calculation. If employed, this typically means recent **salary slips (last 3 months)** and often the **latest tax return** or a tax certificate showing annual incomepostfinance.ch. Employers' salary confirmations or an employment contract may also be requested, especially for new jobs. If the borrower is **self-employed or a business owner**, the requirements are more extensive: at least the last **2–3 years of financial statements (balance sheet and profit/loss statements)** of the business, recent **tax returns**, and possibly an auditor's report or bank statements to corroborate incomepostfinance.ch. Retirees would provide pension statements. In all cases, the lender is gauging stable income to service the mortgage.

- **Credit History and Liabilities:** Swiss banks often ask for a recent **debt registry extract** ("Betreibungsauszug" in German) no older than 3 or 6 monthspostfinance.ch. This official extract from the cantonal debt enforcement office shows if the person has any recorded payment defaults or debt collection proceedings against them – an important creditworthiness signal. Additionally, the applicant must disclose existing loans or obligations (other mortgages, car leases, alimony, etc.). Some banks might ask for a self-declaration of monthly expenses or bank account statements to double-check debt obligations. Clients may also sign an **authorization for the bank to obtain references or credit checks** (for instance, PostFinance has borrowers sign an authorization to request/forward information)postfinance.ch.

- **Proof of Assets (Down Payment Funds):** The borrower needs to demonstrate that they have the required down payment and cash for transaction costs available. Documentation includes **recent account statements** from banks or investment

custodians showing the funds for the down paymentpostfinance.ch. If using Pillar 3a retirement savings, a **3a account statement** or policy statement is neededpostfinance.ch. If using pension fund money (2nd pillar), a **pension fund statement** indicating the available withdrawable amount is required, and the bank may demand an attestation from the pension fund that the withdrawal has been requested/approvedpostfinance.ch. For any part of the equity coming as a gift, a gift letter and evidence of the donor's transfer might be needed. Essentially, the bank will trace the source of the down payment to satisfy both credit and anti-money-laundering rules.

- **Property Information and Documents:** The lender conducts a thorough evaluation of the property being financed. Thus, a suite of property documents must be provided (often via the seller or real estate agent if it's a purchase). Key documents include: a **copy of the draft purchase contract** or reservation agreement, especially if the sale is in progresspostfinance.ch; a recent **extract from the land registry** ("Grundbuchauszug") to confirm the current owner, plot details, and any existing lienspostfinance.ch; for a house, the **building insurance policy or certificate** which lists details like the insured value and building volume (important for valuation)postfinance.ch; **architectural plans or floor plans** of the property and a detailed description of the property (size in square meters, number of rooms, year built, renovations)postfinance.ch. If the property is part of a condominium (PPE/Wohnungseigentum), the **condominium association's regulations and latest financial statements** of the association may be requested, as well as confirmation of the monthly owners' association fees – since those affect affordability. For a new construction or off-plan purchase, the bank will need the **construction budget, specifications, and builder's contract**. For properties built within the last few years, showing the **energy certificate** or MINERGIE certificate (if applicable) can also support the valuation. In summary, the lender aims to collect any document that substantiates the property's value and characteristics, as well as any legal encumbrances on it.

- **Additional Documents for Special Cases:** If the borrower is selling an existing property and porting or replacing an old mortgage, the bank will ask for the **existing mortgage statement** and details on that property's sale. If multiple properties are involved (e.g. using another property as additional collateral), those property documents must be provided similarly. In cases where foreign nationals require a purchase authorization (Lex Koller permit), that official permit letter must be included. Lastly, the bank may require the borrower to fill a standard **mortgage application form** and provide any other information the credit policy deems necessary (such as life insurance details if pledging a life insurance, etc. – e.g. copy of life insurance policy if its surrender value is used as collateralpostfinance.ch).

The **documentation checklist** may seem extensive, but it serves a clear purpose: to allow the lender to **fully evaluate the 3 C's – Character, Capacity, and Collateral**:

- *Character/credit* is shown via IDs, debt extracts, and consistent financial records.
- *Capacity* to pay is shown via income documents and affordability calculations.
- *Collateral* value is shown via property documents and equity proof.

Swiss lenders are required to retain these documents on file as evidence that the loan was granted responsibly and in compliance with regulations. FINMA and auditors can review loan files to ensure that, for example, affordability was checked and identity verified. By being well-prepared and providing a complete file, applicants can speed up the approval process. As PostFinance advises, *"the key to securing a good mortgage deal is being well prepared"*, and knowing in advance which documents are needed can streamline your application[postfinance.chpostfinance.ch](postfinance.ch).

References

- Swiss Financial Market Supervisory Authority (FINMA) – **Press Release 27.03.2024: *"Mortgage loans: FINMA recognises adjustments to self-regulation"*** (English)[finma.chfinma.ch](finma.ch). Describes the binding minimum standards for mortgages (20% equity with 10% hard equity, 15-year amortization to 2/3) and FINMA's stance on mortgage market risks.
- Swiss Bankers Association (SBA) – **News Release 27.03.2024: *"Basel III Final: SBA updates self-regulation on mortgages"***[swissbanking.chswissbanking.ch](swissbanking.ch). Summarizes the updated SBA Guidelines on minimum requirements and on assessing/valuing mortgages (effective 1 Jan 2025), including unified rules for all property types and new periodic re-assessment duties.
- FINMA – **Risk Monitor 2023 and Dossier on Mortgage Market** – FINMA's analysis of mortgage sector risks[finma.chfinma.ch](finma.ch). Notes banks' tendency to use optimistic affordability assumptions and warns against excessive "policy exceptions."
- Federal Office of Justice (FOJ) – **Lex Koller FAQs** (updated 2024)[resourcehub.bakermckenzie.comresourcehub.bakermckenzie.com](resourcehub.bakermckenzie.com). Explains restrictions on foreign buyers: definition of "persons abroad", permit requirements for non-residents, and exemptions for EU/EFTA residents. Confirms that EU/EFTA residents have same property rights as Swiss, and outlines holiday home permit rules.
- PostFinance – **Mortgage Document Checklist (Feb 2024)**[postfinance.chpostfinance.ch](postfinance.ch). Provides a client-facing list of documents needed for a mortgage application (ID, residence permit, income proof, tax return, debt register, proof of equity, land registry extract, building insurance, plans, etc.), reflecting typical regulatory requirements across Swiss lenders.
- Strike Advisory – **"Saving for a down payment in Switzerland" (2024)**strike-advisory.ch. Summarizes Swiss down payment rules in plain language (20% down with max 10% from pension) and lists what assets count toward equity.
- Comparis – **"Affordability and LTV" explainer (Nov 2024)**[en.comparis.chen.comparis.ch](en.comparis.ch). Confirms the one-third income affordability rule and the 80%/20% LTV rule, citing the SBA guidelines (10% minimum real equity). Also details the standard calculation with 5% interest and 1% maintenance.
- UBS Bank – **"Mortgages for vacation and investment properties"**[ubs.com](ubs.com). Notes that financing for secondary residences is capped around 60% LTV, illustrating practical stricter terms for non-primary homes.

- Baker McKenzie – **Global Real Estate Guide: Switzerland (2024)**resourcehub.bakermckenzie.comresourcehub.bakermckenzie.com. Provides a legal overview of property ownership restrictions by nationality, reiterating Lex Koller conditions (permit needed for foreign non-residents, no restriction for EU/EFTA in CH, etc.).
- Swiss Federal Act on Combating Money Laundering (AMLA) – **(Law text SR 955.0)**. Not excerpted above, but underpins banks' obligations to verify client identity and source of funds in any financial transaction, including mortgages. This is indirectly reflected in the documentation requirements (ID, proof of funds) that lenders must fulfill.